

**BEFORE THE
FEDERAL MARITIME COMMISSION**

WASHINGTON, DC 20573

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

**MSRF, INC.'S RESPONSE TO YANG MING MARINE TRANSPORT
CORPORATION'S MOTION TO COMPEL RESPONSES TO INTERROGATORIES
AND TO ORDER NEW ANSWERS TO REQUESTS FOR ADMISSION**

Complainant, MSRF, INC., (hereinafter, "MSRF" or "Complainant"), by and through its undersigned attorneys, hereby files a response to Respondent's, YANG MING MARINE TRANSPORT CORPORATION'S, (hereinafter, "Yang Ming" or "Respondent"), Motion to Compel Responses to Interrogatories and To Order New Answers to Request for Admission, and requests that the Commission deny Yang Ming's Motion to Compel.

INTRODUCTION

Yang Ming's Motion to Compel Responses to Interrogatories and to Order New Answers to Requests for Admission should be denied because Yang Ming did not confer in good faith with MSRF regarding MSRF's responses to Yang Ming's discovery requests as required by 46 C.F.R. § 502.150(a)(2)(i). More specifically, Yang Ming gave MSRF one day to provide sufficient responses to Yang Ming's substantive and substantial discovery requests. Such short notice request from Yang Ming cannot constitute an attempt to confer in good faith in an effort to obtain compliance without the necessity of a motion.

BACKGROUND

On December 21, 2022, MSRF produced responses to Yang Ming's voluminous discovery requests, which included 42 Requests to Admit, 45 Interrogatories, and 20 Requests to Produce. **Exhibit A**, Certificates of Service for MSRF's Answers to Yang Ming's Interrogatories, Answers to Requests to Admit, and Responses to Requests for Production. Because of the volume of Yang Ming's discovery requests, many of which included several subparts, many of MSRF's responses included a commitment to supplement the responses as MSRF would need to review thousands of documents to properly comply with Yang Ming's discovery requests.

On January 3, 2023, Yang Ming emailed MSRF a 201(k) letter outlining what it alleged are deficiencies in MSRF's responses to 61 of MSRF's responses. **Exhibit B**, Yang Ming's January 3, 201(k) Letter. That same day, undersigned counsel for MSRF confirmed receipt of Respondent's email, pledged to provide a formal response as soon as possible, and supplemented its December 21, 2022, discovery responses by producing documents responsive to Yang Ming's discovery requests. **Exhibit C**, Emails Between Counsel. On January 4, 2023, however, Yang Ming responded stating that MSRF had until January 5, 2023, to provide what it deemed sufficient supplemental responses to Yang Ming's discovery requests, or it would file a motion to compel. **Ex. C**. Finally, with the recently Amended Scheduling Order, Yang Ming is relieved of the pressure it claims forced the Motion to Compel. Put simply, Yang Ming gave MSRF only 48 hours between emailing a 201(k) letter regarding 61 discovery requests and filing a Motion to Compel on January 5, 2023. Counsel for Yang Ming was also out of office beginning January 7, 2023. *Id.* Therefore, Yang Ming did not provide time for MSRF to respond to its 201(k) letter or even attempt to confer with MSRF despite the promise of a prompt review and supplementation where appropriate. The Motion to Compel should be denied.

ARGUMENT

FMC Rule 150(a)(2)(i) provides in pertinent part as follows:

(2) A motion to compel must include:

(i) A certification that the moving party has conferred in *good faith* or attempted to confer with the party failing to make initial disclosure or respond to discovery requests as provided in this subpart *in an effort to obtain compliance without the necessity of a motion*.

46 C.F.R. § 502.150(a)(2)(i) (emphasis added).

Yang Ming's email of the 201(k) letter requesting full supplemental responses in less than 48 hours was not a good faith attempt to confer in an "effort to obtain compliance without the necessity of a motion" as required by FMC Rule 150(a)(2)(i). It is wholly unrealistic and unreasonable to demand a response to 61 substantive and substantial discovery requests in a 48 timeframe. MSRF is still in the process of reviewing thousands of documents in an effort to comply with Yang Ming's discovery requests and is working towards responding to Yang Ming's 201(k) Letter, in addition to being forced to respond to this Motion. It is certain, however, that MSRF cannot finish its review of the documents and provide responses to Yang Ming's 201(k) Letter in a 48-hour timeframe, as Yang Ming demanded. Accordingly, Yang Ming did not comply with the requirements of Rule 502.150(a)(2)(ii) because it failed to provide MSRF with a reasonable timeframe to respond to or confer regarding Yang Ming's 201(k) Letter and, thus, Yang Ming's Motion to Compel does not meet the requirements of FMC Rule 150(a)(2)(i).

CONCLUSION

WHEREFORE, MSRF respectfully requests that the Presiding Officer enter an Order denying Yang Ming's Motion to Compel Responses to Interrogatories and To Order New Answers to Request for Admission along with all further relief deemed just and proper.

Respectfully submitted,

CLARK HILL PLC

January 18, 2023

/s/ R. Kevin Williams

R. Kevin Williams

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Counsel for Complainant, MSRF, Inc.

CERTIFICATE OF SERVICE

I certify that on January 18, 2023, a true and correct copy of the foregoing **MSRF, INC.'S RESPONSE TO YANG MING MARINE TRANSPORT CORPORATION'S MOTION TO COMPEL** was served by email on all counsel of record as follows:

Attorneys for Respondent Yang Ming Marine Transport Corporation:

Rebecca A. Fenneman, Esq.
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/s/ Nicole M. Prefontaine

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Counsel for Complainant, MSRF, Inc.

Exhibit A

CERTIFICATE OF SERVICE

I certify that on December 21, 2022, a true and correct copy of the foregoing
**MSRF, INC.'S RESPONSES AND OBJECTIONS TO YANG MING MARINE
TRANSPORT CORPORATION'S FIRST SET OF INTERROGATORIES AND
REQUESTS FOR DOCUMENTS** was served by email on all counsel of record as follows:

Attorneys for Respondent Yang Ming Marine Transport Corporation:

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Counsel for Complainant, MSRF, Inc.

CERTIFICATE OF SERVICE

I certify that on December 21, 2022, a true and correct copy of the foregoing
**MSRF, INC.'S RESPONSES AND OBJECTIONS TO YANG MING MARINE
TRANSPORT CORPORATION'S REQUESTS FOR ADMISSION** was served by email on
all counsel of record as follows:

Attorneys for Respondent Yang Ming Marine Transport Corporation:

Rebecca A. Fenneman, Esq.
Eric C. Jeffrey, Esq.
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/s/ R. Kevin Williams

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Counsel for Complainant, MSRF, Inc.

Exhibit B

DEFICIENCIES IN MSRF'S DISCOVERY RESPONSES

I. Requests for Admission

As a general matter, we note that, in many cases, identified as relevant below, MSRF has claimed insufficient information to admit or deny, but has not stated what steps it took to identify relevant information. This is flatly contrary to the FMC's Rules of Practice & Procedure. See 46 C.F.R. 502.147(a)(4) (emphases added):

If a matter is not admitted, the answer must specifically deny it *or state in detail why the answering party cannot truthfully admit or deny it*. A denial must fairly respond to the substance of the matter; and when good faith requires that a party qualify an answer or deny only a part of a matter, the answer must specify the part admitted and qualify or deny the rest. *The answering party may assert lack of knowledge or information* as a reason for failing to admit or deny *only if the party states that it has made reasonable inquiry and that the information it knows or can readily obtain is insufficient to enable it to admit or deny*.

As a second general matter, MSRF has repeatedly refused to answer requests for admission on the ground that the request "calls for a legal conclusion to which no response is required." That is not a valid objection under the FMC's Rules; 46 C.F.R. 502.147(a)(1) states that a request for admission may address "the truth of any nonprivileged relevant matters relating to facts, *the application of law to fact*, or *opinions* about either." See, e.g., Docket No. 21-17, *Ocean Network Express, Pte Ltd. and Ocean Network Express (North America), Inc. – Possible Violations of 46 U.S. C. § 41102(C)* (ALJ, May 4, 2022)(Order Granting Motion to Compel), 2022 FMC LEXIS 178 .

1. **RFA 3.** This is an example where MSRF claims insufficient evidence without qualifying its response or explaining what steps it took to obtain the information. The information requested – whether Covid caused the death of more than 1 million Americans – is easily obtained from any number of reliable sources – including the CDC and Johns Hopkins.
2. **RFA 7.** Another case where MSRF claimed insufficient information without explaining the steps it took to gather information. Information about trade deficits for containerized cargo is available from numerous sources.
3. **RFA 9.** Another failure to identify measures taken to identify relevant information.

4. **RFA 26.** Failure to identify measures taken to determine if Respondent has contracts with NVOCCs. Failure to fairly respond to the substance of the matter.
5. **RFA 29.** Failure to identify measures taken to determine if NVOCCs determine their own pricing. Failure to fairly respond to the substance of the matter.
6. **RFA 30.** Failure to fairly respond to the substance of the matter.
7. **RFA 35.** Invalid claim about conclusions of law.
8. **RFA 36.** Invalid claim about conclusions of law.
9. **RFA 37.** Failure to fairly respond to the substance of the matter.
10. **RFA 40.** Failure to fairly respond to the substance of the matter.
11. **RFA 41.** Failure to fairly respond to the substance of the matter.

II. Interrogatories

As with the RFAs above, MSRF has consistently refused to respond to interrogatories it claims involve conclusions of law. And as with the RFAs, this objection is invalid. See 46 C.F.R. 145(a)(2) (an “interrogatory is not objectionable merely because it asks for an opinion or contention that relates to fact or the application of law to fact”); for discussion of “contention interrogatories” see also, Docket No. 21-17, *supra*, 2022 FMC LEXIS 178, *3-4 (citing *Thorn EMI N. Am. v. Intel Corp.*, 936 F. Supp. 1186, 1191 (D. Del. Aug. 29, 1996)). Nor do such interrogatories impinge in any way on the attorney-client privilege.

1. **Interrogatory 3.** Reference to documents produced is invalid as no documents have yet been produced.
2. **Interrogatory 4.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
3. **Interrogatory 5.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
4. **Interrogatory 6.** References to the Complaint, without more, are patently insufficient.
5. **Interrogatory 8.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.

6. **Interrogatory 9.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
7. **Interrogatory 10.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
8. **Interrogatory 11.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
9. **Interrogatory 12.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
10. **Interrogatory 13.** Reference to complaint is patently insufficient.
11. **Interrogatory 15 (misstated in response as 16).** Incomplete and vague answer. Need promised supplement promptly.
12. **Interrogatory 16.** Relevance objection is invalid, as identification of other MSRF contracts is relevant to the options available to MSRF, as well as damages and mitigation thereof.
13. **Interrogatory 17.** Relevance objection is invalid, as identification of other MSRF contracts is relevant to the options available to MSRF, as well as damages and mitigation thereof.
14. **Interrogatory 18.** Response does not fairly respond to the question. Promised supplement required promptly.
15. **Interrogatory 19.** Response does not fairly respond to the question. Relevance objection is invalid, as the requested information is relevant to the options available to MSRF, as well as damages and mitigation thereof.
16. **Interrogatory 20.** Invalid claim about legal conclusions. Failure to provide a meaningful answer. References to the Complaint, without more, are patently insufficient.
17. **Interrogatory 21.** Reference to complaint is patently insufficient. Promised supplement required promptly.
18. **Interrogatory 22.** Promised supplement needed promptly.
19. **Interrogatory 23.** Promised supplement needed promptly.

- 20. Interrogatory 24.** Promised supplement needed promptly.
- 21. Interrogatory 25.** Reference to complaint is patently insufficient.
- 22. Interrogatory 26.** Response does not fairly respond to the question.
- 23. Interrogatory 27.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 24. Interrogatory 28.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 25. Interrogatory 29.** Invalid objection because FMC Rules specifically contemplate discrete subparts. Reference to complaint is patently insufficient.
- 26. Interrogatory 30.** Interrogatory is plainly relevant to, inter alia, the claim in the Complaint that Respondent did not give MSRF the space that it needed, as well as the reasonableness, *vel non*, of Respondent's actions. Reference to a contract is patently insufficient.
- 27. Interrogatory 32.** MSRF's Response directly contradicts its own admission. See RFA 23.
- 28. Interrogatory 33.** This response is incomplete because MSRF has not identified communications between MSRF and Respondent for any of the listed shipments, as required by the interrogatory.
- 29. Interrogatory 34.** MSRF's response is not responsive to the question asked. [Rebecca, need to supplement on this as well.]
- 30. Interrogatory 35.** The objection about relevance is unethical and evidences lack of good faith, as the goes directly and obviously to the question of subject matter jurisdiction and the elements required to prove Complainant's claim. Further, it directly addresses a specific allegation in the Complaint, which Complainant obviously deemed relevant.
- 31. Interrogatory 36.** Reference to complaint is patently insufficient.
- 32. Interrogatory 37.** The response is non-responsive. Merely parroting a conclusory allegation in the Complaint does not constitute explanation.
- 33. Interrogatory 38.** Reference to complaint is patently insufficient.
- 34. Interrogatory 39.** Promised supplement needed promptly.

35. Interrogatory 40. Promised supplement needed promptly.

36. Interrogatory 42. The interrogatory relates to multiple service contracts, while the response addresses only one.

37. Interrogatory 44. Promised supplement needed promptly.

38. Interrogatory 45. [Rebecca, can you elaborate the question]

III. Requests for Production of Documents

- 1. RFD 3.** The objection as to vagueness is unfounded, as the term is fairly understood in the industry and is used in the FMC's regulations (46 CFR 515.2(k)(4); 46 CFR 515.31(a); 46 CFR 550.202(b)(1)) and includes such documents that will support the factual allegations made in the Complaint itself (Allegation 23, "Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent.")
- 2. RFD 4.** The objections are unfounded. Internal communications of MSRF are decidedly not in Respondent's possession and that is not a valid objection in any event. The objection as to relevance is frivolous given the standard of discovery.
- 3. RFD 9.** The objections are unfounded. Internal communications of MSRF are decidedly not in Respondent's possession and that is not a valid objection in any event. The objection as to relevance is frivolous given the standard of discovery
- 4. RFD 11.** The objections at least border on bad faith. The documents requested herein do not duplicate any other request and are obviously relevant to, inter alia, MSRF's claim for damages.
- 5. RFD 12.** The objection as to relevance is unfounded, as the request is relevant, inter alia, to MSRF's claim for damages.
- 6. RFD 13.** The objection as to relevance is unfounded, as the request is relevant, inter alia, to MSRF's claim for damages.
- 7. RFD 14.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's claim for damages and mitigation thereof.
- 8. RFD 15.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's claim for damages and mitigation thereof.

9. **RFD 16.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, whether 2020-2021 was an atypical year for MSRF as well as MSRF's claim for damages and mitigation thereof.
10. **RFD 17.** The objection as to relevance is unfounded, as the requested information is clearly relevant to, inter alia, MSRF's assertion that it needed more space and the reasonableness of Respondent's actions, as well as MSRF's claim for damages and mitigation thereof.
11. **RFD 19.** The objection as to clarity is ill-founded, as the term "door moves" is well understood in the industry and the words "cease" and "tendering" are plain English.
12. **RFD 20.** The objection as to clarity is ill-founded, as the terms "door moves" and "customer-nominated trucker" are well understood in the industry and indeed were used by Complainant in negotiations with Respondent.

Exhibit C

From: Prefontaine, Nicole <nprefontaine@clarkhill.com>
Sent: Thursday, January 5, 2023 2:04 PM
To: Rebecca Fenneman <rfenneman@jeffreyfenneman.com>
Cc: Williams, R. Kevin <kwilliams@clarkhill.com>; Eric Jeffrey <EJeffrey@jeffreyfenneman.com>; Nicholas Webb <nwebb@jeffreyfenneman.com>; Ludwikowski, Mark R. <mludwikowski@clarkhill.com>; Andrews, Mark <mandrews@clarkhill.com>
Subject: RE: FMC Docket No. 22-21 - MSRF discovery deficiencies

Please see the below link for the production in the format you requested. The password will follow in a separate email for security.

<https://clarkhill.box.com/s/m7zetax239vwbd2wis1m6qksi7jv6c5>

Thank you,

Nicole M. Prefontaine

Attorney at Law

Clark Hill

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312.360.2103 (office) | 312.307.2118 (cell)
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From: Rebecca Fenneman <rfenneman@jeffreyfenneman.com>
Sent: Thursday, January 5, 2023 12:17 PM
To: Prefontaine, Nicole <nprefontaine@clarkhill.com>
Cc: Williams, R. Kevin <kwilliams@clarkhill.com>; Eric Jeffrey <EJeffrey@jeffreyfenneman.com>; Nicholas Webb <nwebb@jeffreyfenneman.com>; Ludwikowski, Mark R. <mludwikowski@clarkhill.com>; Andrews, Mark <mandrews@clarkhill.com>
Subject: Re: FMC Docket No. 22-21 - MSRF discovery deficiencies

[External Message]

Dear Nicole:

Thank you for your production. We would appreciate it if you would provide the following:

1. Images of all files outputted to .PDF. We are not able to work with single-page .TIF files.
2. The load file outputted to .CSV (or any other Excel-compatible format).

Thank you for your immediate assistance.

Best,
Rebecca

On Tue, Jan 3, 2023 at 5:38 PM Prefontaine, Nicole <nprefontaine@clarkhill.com> wrote:

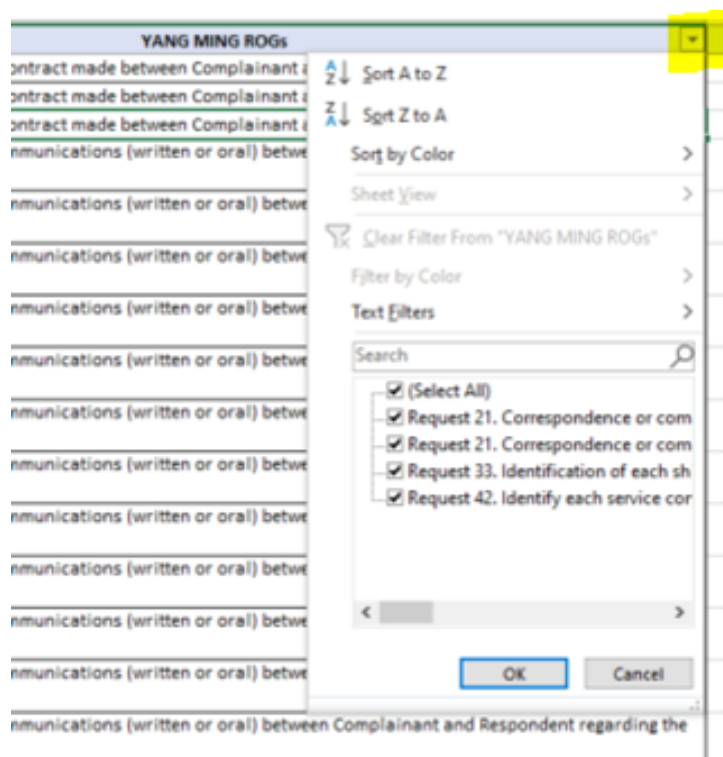
Good afternoon and Happy New Year,

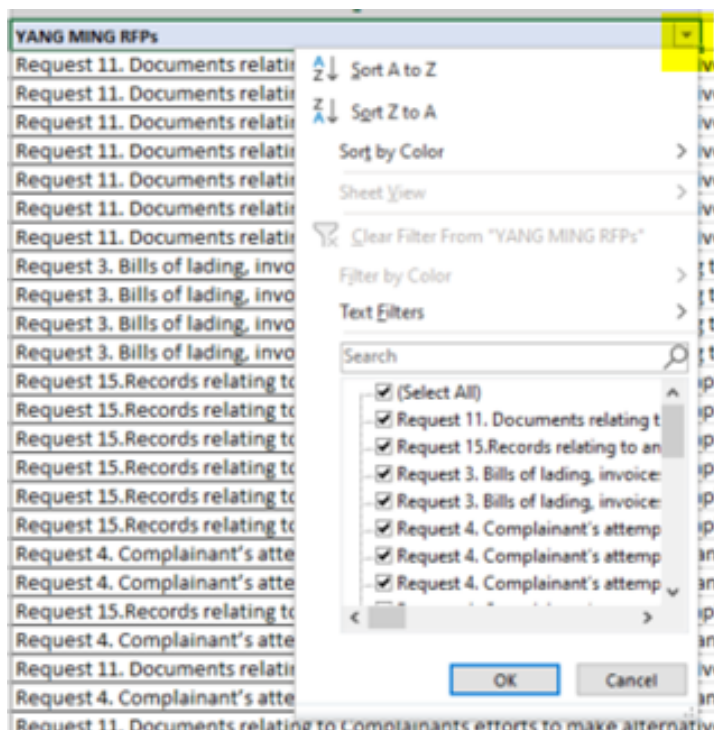
We are in receipt of your letter and will provide a formal response as soon as possible.

Also, please see the Box link below for MSRF's production responsive to Yang Ming's Requests for Production and Interrogatories which called for documents.

Link: MSRF_YANG MING001: <https://clarkhill.box.com/s/xoyu9tcvxnk0ke7skj92lzjxmi95g2vc>

Attached is a reference index indicating which Request(s) each document is responsive to. Please note that you can sort by Request Number by using the drop down arrow:





The password will be sent via separate email for security.

Thank you,

Nicole M. Prefontaine

Attorney at Law

Clark Hill

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From: Rebecca Fenneman <rfenneman@jeffreyfenneman.com>

Sent: Tuesday, January 3, 2023 9:52 AM

To: Williams, R. Kevin <kwilliams@clarkhill.com>

Cc: Eric Jeffrey <EJeffrey@jeffreyfenneman.com>; Nicholas Webb <nwebb@jeffreyfenneman.com>;
Ludwikowski, Mark R. <mludwikowski@clarkhill.com>; Andrews, Mark <mandrews@clarkhill.com>;
Prefontaine, Nicole <nprefontaine@clarkhill.com>
Subject: FMC Docket No. 22-21 - MSRF discovery deficiencies

[External Message]

Dear Kevin,

I hope you had a good holiday and Happy New Year.

As required by the Commission's rules, we are reaching out to confer with you regarding MSRF's responses to Yang Ming's discovery requests, other than the failure to produce documents. Attached is a list of MSRF's discovery deficiencies identified by Yang Ming to date, reserving the right to supplement.

We are available to discuss this week if you want, but, as you are aware, I will be traveling outside the country and will be completely unavailable from January 7 until January 14, 2023.

Sincerely,

Rebecca

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*****PRIVILEGED AND CONFIDENTIAL COMMUNICATION*****

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